

NO MORE WASTED SPACE

The Case for a Sacramento Vacancy Tax



Citywide Briefing, with District 3 Context for Councilmember Karina Talamantes

VacancyFee.org

THE PROBLEM

Vacancy Is a Choice, Not a Circumstance

For a lot of property owners, an empty building or lot in Sacramento isn't a failure to find a tenant. It's a business model. When land appreciates faster than the cost of taxes and interest, sitting on it empty can earn more than renting it out ever would. A registration or monitoring fee won't change that math: it can catch neglect, but it does nothing to the underlying incentive that rewards speculative land-banking. A vacancy tax fixes that by putting a real cost on doing nothing, while a 90-day grace period and exemptions for active construction or bona fide use mean it never touches an owner who is actually trying to lease.

5,862

Vacant/underused
properties citywide

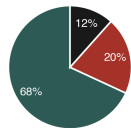
\$39.2M/yr

Property tax
uplift potential

\$71.0M/yr

Lost sales tax
revenue

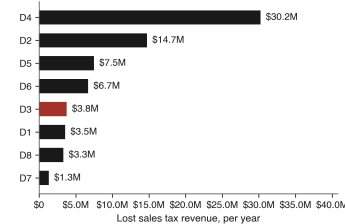
Citywide: 5,862 Vacant/Underused Properties



■ Vacant, zoned-residential land (3,993)
■ Commercial (1,188)
■ Industrial (681)

71% is vacant land zoned residential: unimproved lots or structures the assessor rates as having no meaningful improvement value. Not occupied homes.

Every Council District Has This Problem

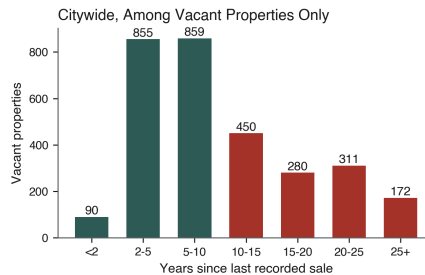


District 3 alone accounts for \$3.8M/yr in lost sales tax and \$1.7M/yr in property tax uplift, across 478 identified vacant or underused properties.

THE PATTERN

These Properties Have Been Sitting for Years

Of the 5,862 vacant properties identified citywide, about half have a recorded sale date. Among those, the typical property hasn't sold in 8 years, and 40% haven't changed hands in over a decade. This is scoped entirely to properties already flagged as vacant, not a claim about the city's housing stock broadly.



PRECEDENT

Other California Cities Are Already Acting

CITY	FEE / TAX
Oakland	\$3K-\$6K/parcel
Berkeley	\$3K-\$6K/parcel
Stockton	\$826/yr commercial
SF (Commercial)	\$250-\$1K/linear ft.

DISTRICT 3 SNAPSHOT

Vacant/underused properties	478
Property tax uplift potential	\$1.7M/yr
Lost sales tax revenue	\$3.8M/yr

VACANT COMMERCIAL LAND IN DISTRICT 3

ADDRESS	EST. VALUE	TAX UPLIFT
616 Northfield Dr	\$2.5M	\$27K/yr
540 Cleveland Ave	\$2.4M	\$27K/yr
2550 Arena Blvd	\$2.3M	\$23K/yr
647 Northfield Dr	\$2.1M	\$22K/yr

GET INVOLVED

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